

Automotive Industry

Weekly Automotive Pit Stop: Tech pipeline strengthens, raw material risk builds

Industry Overview

Technician pipeline grows as enrollment picks up

We think an improving technician pipeline should support auto dealers parts & service business as the industry continues to work through a persistent technician shortage. Universal Technical Institute end-of-period full-time students declined -6.0% QoQ to 14.6k in fiscal 3Q (June), a smaller decline than normal seasonality (3Q24: -7.3%, 3Q25: -6.7%) ahead of the typical 4Q peak from summer starts. YoY enrollment growth picked up to +5.2% in 3Q from +3.8% in 2Q as YoY growth has now been positive for 12 straight quarters. Separately, IPEDS data shows degrees and certificates awarded for Mechanic & Repair Technologies/Technicians rose +13% YoY in 2025, adding to entry-level technician supply after several years of strong trade-school enrollment. Dealers have also called out technician-focused initiatives, including ABG's internal Asbury Automotive Institute, GPI's focus on technician hiring and productivity, and Sonic's efforts to grow technician count and add service stalls.

Raw material costs increase as 2027 risk builds

We estimate the total value of raw material inputs for an average vehicle rose +1% MoM in September to \$4,845, up +32% YoY. Steel was the largest incremental headwind, while aluminum was ~flat but still elevated YoY and oil-based products continued to pressure costs. At the company level, recent supplier conversations cited cost inflation in memory, oil-linked inputs, and steel, with commercial recoveries typically lagging by a quarter or two. Near-term direction is unclear, with oil prices down 13% since mid-September but still volatile. If commodity prices hold or move higher, we think costs could pressure 2027 earnings for both OEMs and suppliers especially through 1Q27.

Incentives tick up in September as OEMs diverge

Industry average incentives in September ticked up sequentially to \$3,360 per unit (+2.9% MoM), though they remain down -8.4% YoY. Ford backtracked after recent progress toward industry, with spend rising +18.4% MoM to \$4,154 (-5.2% YoY), and its premium to industry widened to +23.6% from +7.4% in August. GM incentives fell -3.3% MoM and -5.6% YoY to \$3,035 and now sit -9.7% below industry, a wider gap than last month's -3.9%. Toyota remains low and continues to reflect tight inventory levels, with spend rising +12.9% MoM to \$1,452 but down -19.8% YoY and -56.8% below average.

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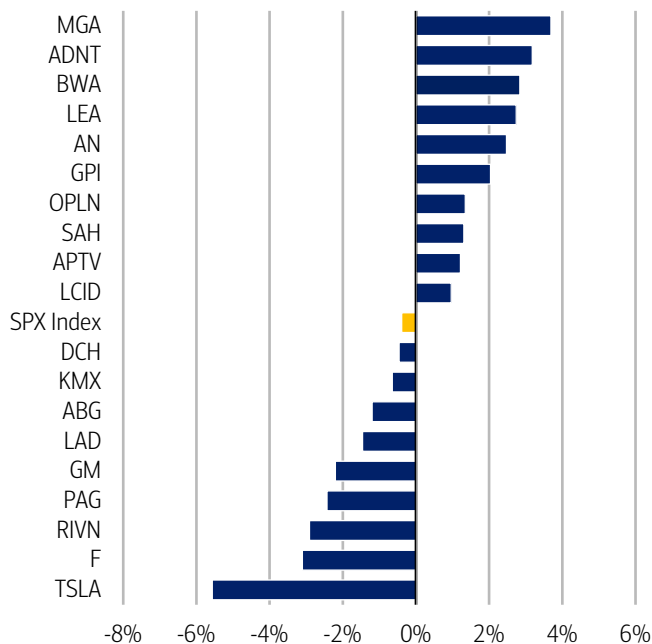
Stock symbol key

Adient Plc	ADNT
Aptiv PLC	APTV
Asbury Auto	ABG
AutoNation, Inc.	AN
BorgWarner	BWA
CarMax	KMX
Dauch Corporation	DCH
Ford Motor	F
General Motors	GM
Group 1 Auto	GPI
Lucid Group	LCID
Lear Corp.	LEA
Lithia Motors	LAD
Magna International	MGA
OPENLANE	OPLN
Penske Auto	PAG
Rivian Automotive	RIVN
Sonic Auto	SAH
Tesla	TSLA

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Stock performance: 1 week and YTD

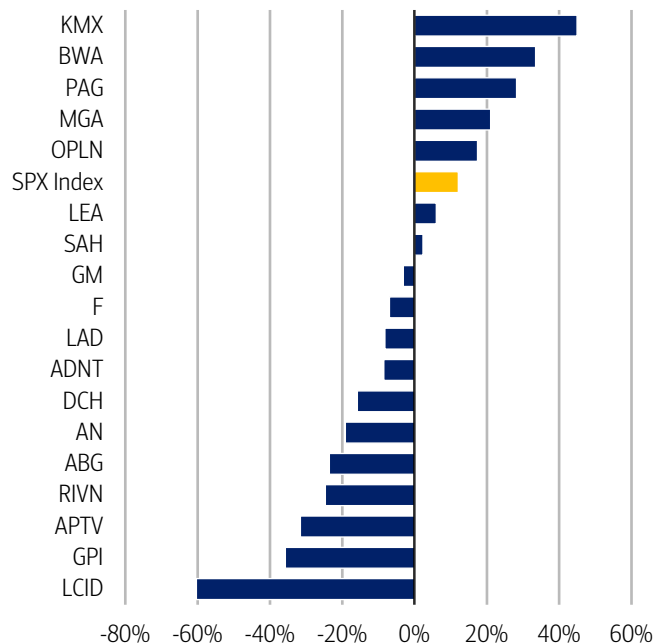
Exhibit 1: MGA, ADNT, and BWA were the best performers of the week
1 week stock performance



Source: Bloomberg as of 10/01/2026, BofA Global Research

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Exhibit 2: KMX, BWA, PAG have been the best performers of 2026
YTD stock performance



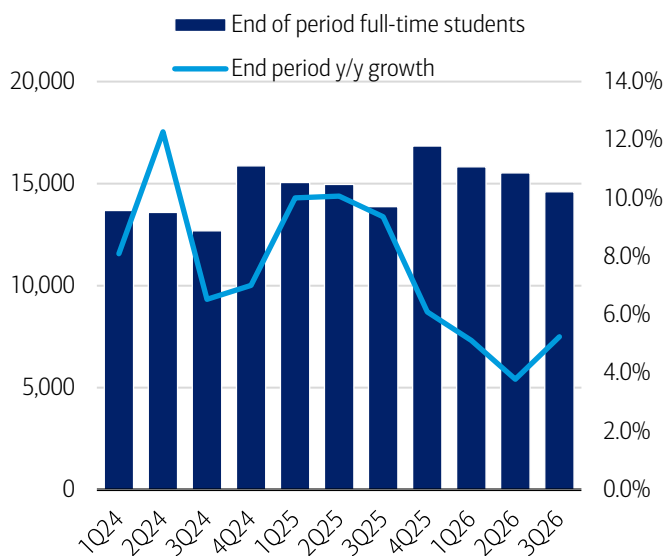
Source: Bloomberg as of 10/01/2026, BofA Global Research

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Key Charts

Exhibit 3: The dealer group should benefit from upward trending enrollment at trade schools

Full-time students at UTI's transportation and skilled trades technical training programs (left hand side) vs. y/y % change

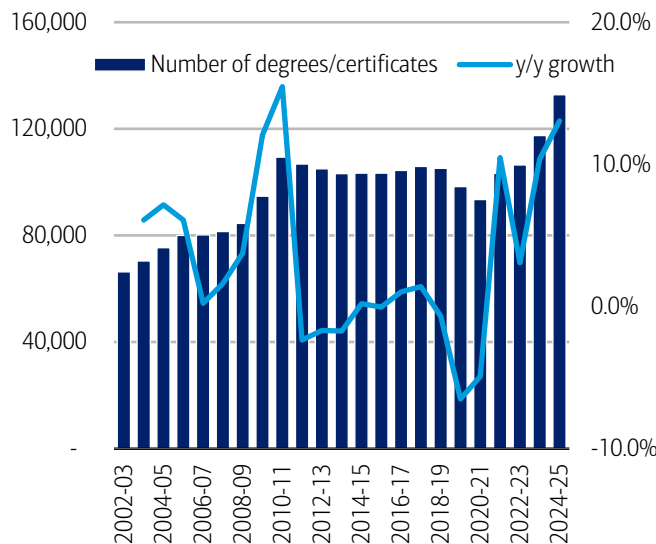


Source: Company Filings, BofA Global Research

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Exhibit 4: An increase in the number of people receiving degrees/certificates in Mechanic & Repair Technologies/Technicians could be a tailwind for dealers' parts and service business

Number of degrees/certificates awarded at post-secondary institutions by completion year



Source: IPEDS

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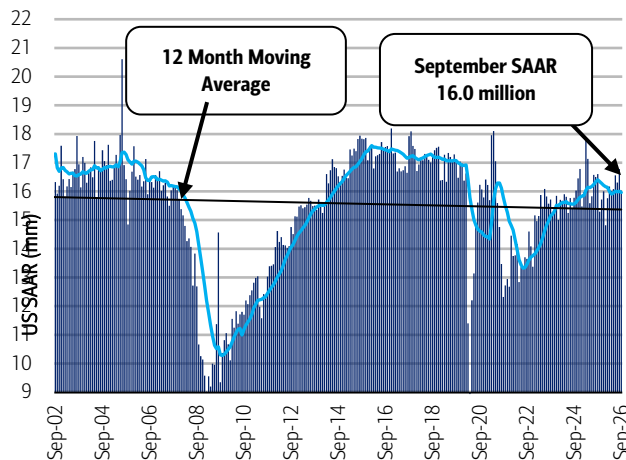
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September SAAR of 16.0mm falls

September SAAR of 16.0mm

Exhibit 5: September SAAR of 16.0mm is above the 12-mma
U.S. seasonally adjusted annual rate (SAAR)



Source: WardsAuto InfoBank, BofA Global Research

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September US light vehicle sales increased +0.1% YoY on a selling day adjusted basis to a SAAR of 16.0mm, a step down from 16.8mm in August. The result was above our mid-month estimate of 15.9mm and Bloomberg consensus at 16.4mm. September brings YTD SAAR to 16.1mm, still below the 16.4mm level in FY25.

We think affordability concerns are increasing given the outlook for interest rate increases and still high oil prices, although demand YTD has remained resilient given wealthier consumers are driving an increased share of the new vehicle market which alongside pent-up demand from an aging vehicle fleet is providing tailwinds.

Exhibit 6: US September unit sales increased +0.1% YoY on a SD-adjusted basis, with car sales down -0.2% YoY and light truck sales up +0.1% YoY
US vehicle sales and market share – Current month and 2026 YTD

		Cars			Light Trucks			Total Vehicles		
		2026	2025	%Δ*	2026	2025	%Δ*	2026	2025	%Δ*
September	September UNITS:									
	Detroit Three	8,031	7,002	10.1%	482,108	482,660	-4.1%	490,139	489,662	-3.9%
	Europeans	28,727	25,651	7.5%	73,460	76,923	-8.3%	102,187	102,574	-4.4%
	Japanese	116,073	111,565	-0.1%	374,353	325,375	10.5%	490,426	436,940	7.8%
	Koreans	39,919	37,828	1.3%	122,592	105,539	11.5%	162,511	143,367	8.8%
	Others	16,500	19,204	-17.5%	57,900	74,279	-25.2%	74,400	93,483	-23.6%
	Total	209,250	201,250	-0.2%	1,110,413	1,064,776	0.1%	1,319,663	1,266,026	0.1%
	ANNUAL RATE (Mils.)	2.5	2.6	-2.4%	13.5	14.0	-3.7%	16.0	16.6	-3.5%
	CAR/TRUCK MIX (%):	15.9%	15.9%	(0.0)	84.1%	84.1%	0.0	100.0%	100.0%	
	MARKET SHARE:									
YTD 2026	Detroit Three	3.8%	3.5%	0.4	43.4%	45.3%	(1.9)	37.1%	38.7%	(1.5)
	Europeans	13.7%	12.7%	1.0	6.6%	7.2%	(0.6)	7.7%	8.1%	(0.4)
	Japanese	55.5%	55.4%	0.0	33.7%	30.6%	3.2	37.2%	34.5%	2.7
	Koreans	19.1%	18.8%	0.3	11.0%	9.9%	1.1	12.3%	11.3%	1.0
	Others	7.9%	9.5%	(1.7)	5.2%	7.0%	(1.8)	5.6%	7.4%	(1.7)
	YTD 2026 UNITS:									
	Detroit Three	84,820	90,951	-6.7%	4,333,134	4,577,398	-5.3%	4,417,954	4,668,349	-5.4%
	Europeans	264,739	281,213	-5.9%	684,090	700,307	-2.3%	948,829	981,520	-3.3%
	Japanese	1,154,986	1,189,997	-2.9%	3,442,137	3,362,228	2.4%	4,597,123	4,552,225	1.0%
	Koreans	370,683	384,100	-3.5%	1,055,900	989,227	6.7%	1,426,583	1,373,327	3.9%
	Others	109,743	158,228	-30.6%	493,514	499,533	-1.2%	603,257	657,761	-8.3%
	Total	1,984,971	2,104,489	-5.7%	10,008,775	10,128,693	-1.2%	11,993,746	12,233,182	-2.0%
	ANNUAL RATE (Mils.)	2.7	2.8	-4.8%	13.4	13.6	-1.5%	16.1	16.4	-2.1%
	CAR/TRUCK MIX (%):	16.6%	17.2%	(0.7)	83.4%	82.8%	0.7	100.0%	100.0%	
	MARKET SHARE:									
	Detroit Three	4.3%	4.3%	(0.0)	43.3%	45.2%	(1.9)	36.8%	38.2%	(1.3)
	Europeans	13.3%	13.4%	(0.0)	6.8%	6.9%	(0.1)	7.9%	8.0%	(0.1)
	Japanese	58.2%	56.5%	1.6	34.4%	33.2%	1.2	38.3%	37.2%	1.1
	Koreans	18.7%	18.3%	0.4	10.5%	9.8%	0.8	11.9%	11.2%	0.7
	Others	5.5%	7.5%	(2.0)	4.9%	4.9%	(0.0)	5.0%	5.4%	(0.3)

Source: WardsAuto InfoBank

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Exhibit 7: US September sales were strong at Honda (+11.3% YoY) and Hyundai (+5.4% YoY), while GM sales were soft at -4.1% YoY

US vehicle sales by OEM – Current month and 2026 YTD

		Cars			Light Trucks			Total Vehicles		
		2026	2025	%Δ*	2026	2025	%Δ*	2026	2025	%Δ*
September	March Units:									
	Ford	2,907	1,803	54.8%	160,697	158,602	-2.7%	163,604	160,405	-2.1%
	General Motors	3,933	3,480	8.5%	214,629	215,359	-4.3%	218,562	218,839	-4.1%
	Honda	36,207	31,540	10.2%	85,589	73,557	11.7%	121,796	105,097	11.3%
	Hyundai	21,191	19,640	3.6%	64,311	58,220	6.0%	85,502	77,860	5.4%
	Lucid	500	1,000	-52.0%	1,100	200	n.m	1,600	1,200	28.0%
	Nissan	18,005	18,713	-7.6%	57,396	49,556	11.2%	75,401	68,269	6.0%
	Rivian	2,010	2,264	-14.8%	3,800	5,200	-29.8%	5,810	7,464	-25.3%
	Stellantis	1,191	1,719	-33.5%	106,782	108,699	-5.7%	107,973	110,418	-6.1%
	Tesla	16,000	17,600	-12.7%	36,500	54,000	-35.1%	52,500	71,600	-29.6%
	Toyota	54,206	53,677	-3.1%	147,100	132,071	6.9%	201,306	185,748	4.0%
YTD 2026	YTD Units:									
	Ford	38,685	32,818	17.9%	1,424,339	1,573,602	-9.5%	1,463,024	1,606,420	-8.9%
	General Motors	36,074	43,827	-17.7%	1,969,514	2,097,275	-6.1%	2,005,588	2,141,102	-6.3%
	Honda	364,759	315,670	15.6%	784,502	782,329	0.3%	1,149,261	1,097,999	4.7%
	Hyundai	197,309	183,468	7.5%	561,888	553,711	1.5%	759,197	737,179	3.0%
	Lucid	3,700	6,800	-45.6%	6,600	400	n.m	10,300	7,200	43.1%
	Nissan	186,761	253,549	-26.3%	529,522	458,354	15.5%	716,283	711,903	0.6%
	Rivian	17,465	21,316	-18.1%	32,300	35,000	-7.7%	49,765	56,316	-11.6%
	Stellantis	10,061	14,306	-29.7%	939,281	906,521	3.6%	949,342	920,827	3.1%
	Tesla	29,208	49,574	-41.1%	300,800	302,800	-0.7%	330,008	352,374	-6.3%
	Toyota	534,127	527,585	1.2%	1,342,487	1,338,291	0.3%	1,876,614	1,865,876	0.6%

Source: WardsAuto InfoBank

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Exhibit 8: General Motors (+37bps) and Ford (+50bps) have gained market share on a YoY basis

US market share by OEM

	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	YoY Δ	MoM Δ
General Motors	18.9%	19.1%	19.9%	19.6%	18.8%	18.7%	19.0%	18.7%	18.8%	18.7%	18.0%	18.4%	(84 bps)	37 bps
Toyota	17.9%	18.6%	17.6%	18.2%	17.1%	16.9%	18.1%	18.1%	17.4%	17.7%	17.4%	16.9%	62 bps	(45 bps)
Ford	14.6%	14.0%	15.0%	13.2%	13.8%	13.4%	14.0%	14.0%	14.1%	13.4%	13.2%	13.7%	(33 bps)	50 bps
Honda	9.6%	9.0%	9.0%	10.1%	10.2%	10.4%	11.2%	11.3%	10.9%	11.2%	10.8%	10.2%	101 bps	(56 bps)
Stellantis	9.2%	9.0%	9.1%	8.6%	9.1%	9.9%	8.8%	8.5%	8.5%	8.6%	8.7%	9.1%	(62 bps)	37 bps
Hyundai	6.7%	7.2%	6.6%	6.2%	6.8%	7.3%	7.0%	7.2%	6.9%	7.3%	7.6%	7.2%	35 bps	(44 bps)
Nissan	5.7%	5.8%	6.2%	7.3%	8.2%	7.1%	6.5%	6.5%	6.3%	6.2%	6.1%	6.3%	35 bps	28 bps
Kia Motors	6.0%	6.3%	5.7%	6.6%	6.2%	6.1%	5.9%	6.1%	5.7%	6.2%	6.7%	6.5%	72 bps	(28 bps)
Subaru	4.4%	4.6%	4.4%	4.3%	4.3%	4.4%	4.3%	4.4%	4.5%	4.5%	5.0%	4.4%	34 bps	(62 bps)
BMW	2.7%	3.9%	3.4%	2.5%	2.8%	2.9%	2.7%	2.7%	2.8%	2.9%	2.9%	2.9%	26 bps	8 bps
Tesla Motors	4.3%	2.6%	3.0%	3.3%	2.6%	2.8%	2.5%	2.6%	4.0%	3.3%	3.7%	4.4%	(187 bps)	75 bps

Source: WardsAuto InfoBank

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Exhibit 9: Toyota and Stellantis gained market share on a YoY basis while VW has lost share

Global market share by OEM

	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	YoY Δ	MoM Δ
Toyota	11.7%	12.6%	12.2%	11.6%	13.5%	13.3%	12.3%	12.8%	12.4%	12.2%	12.8%	12.6%	9 bps	(22 bps)
Volkswagen	9.6%	9.8%	9.4%	9.5%	10.2%	9.7%	9.6%	9.1%	9.0%	9.6%	8.8%	8.0%	(81 bps)	(78 bps)
Stellantis	6.6%	6.6%	6.2%	6.1%	6.8%	7.7%	7.5%	7.0%	6.8%	6.8%	6.4%	6.1%	16 bps	(33 bps)
GM	4.9%	5.1%	5.3%	5.5%	5.1%	5.5%	5.0%	5.5%	5.5%	5.0%	5.3%	5.6%	(39 bps)	28 bps
Hyundai	4.4%	4.4%	4.6%	4.3%	4.6%	4.8%	4.6%	4.8%	4.5%	4.4%	4.5%	4.5%	(28 bps)	(9 bps)
Ford	4.4%	4.4%	4.3%	4.5%	4.2%	4.6%	4.5%	4.8%	4.6%	4.4%	4.4%	4.3%	(46 bps)	(9 bps)
Suzuki	3.4%	3.9%	3.8%	3.6%	4.6%	4.7%	3.9%	4.4%	4.2%	3.6%	4.3%	4.1%	78 bps	(13 bps)
Honda	3.7%	3.7%	3.6%	3.6%	4.1%	4.2%	4.1%	3.9%	4.0%	3.8%	3.9%	3.9%	(21 bps)	(7 bps)
Kia	3.2%	3.2%	3.3%	2.9%	3.7%	4.0%	3.8%	3.9%	3.7%	3.6%	3.9%	3.8%	25 bps	(9 bps)
BYD	5.0%	4.4%	4.6%	4.6%	2.6%	2.3%	3.4%	3.8%	3.9%	4.3%	4.3%	4.6%	(37 bps)	27 bps

Source: Mobility Global

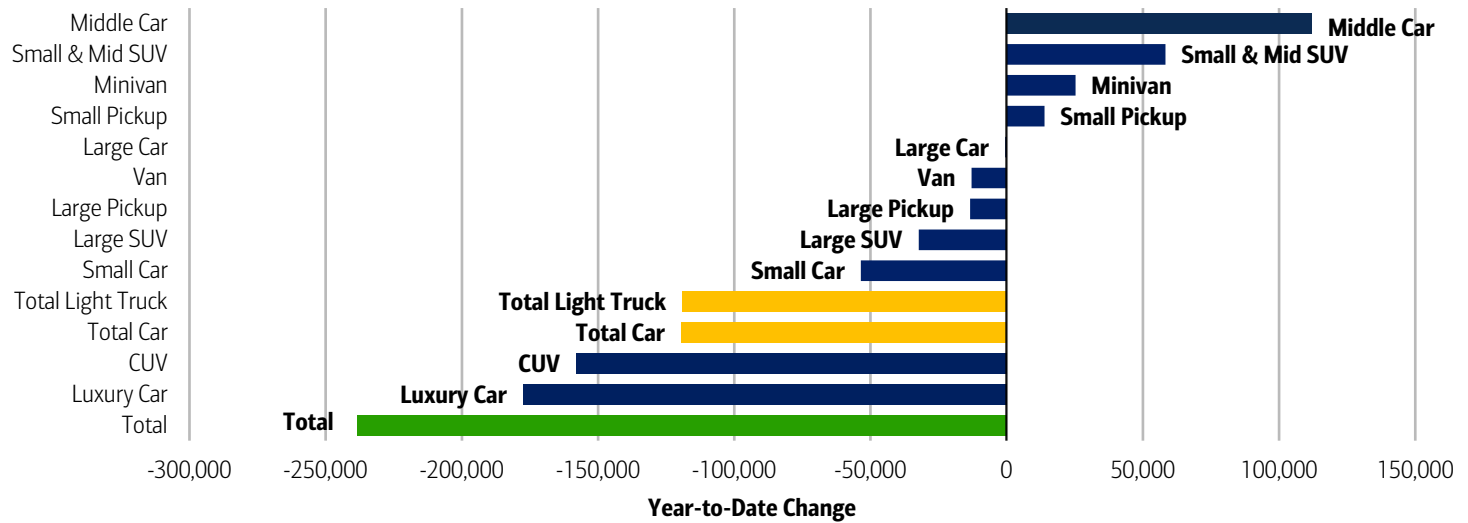
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US sales mix

Exhibit 10: Total light vehicle sales are down YTD, driven mainly by luxury car and CUV, while small/mid SUV has been strong

US sales by segment – 2026 YTD unit change

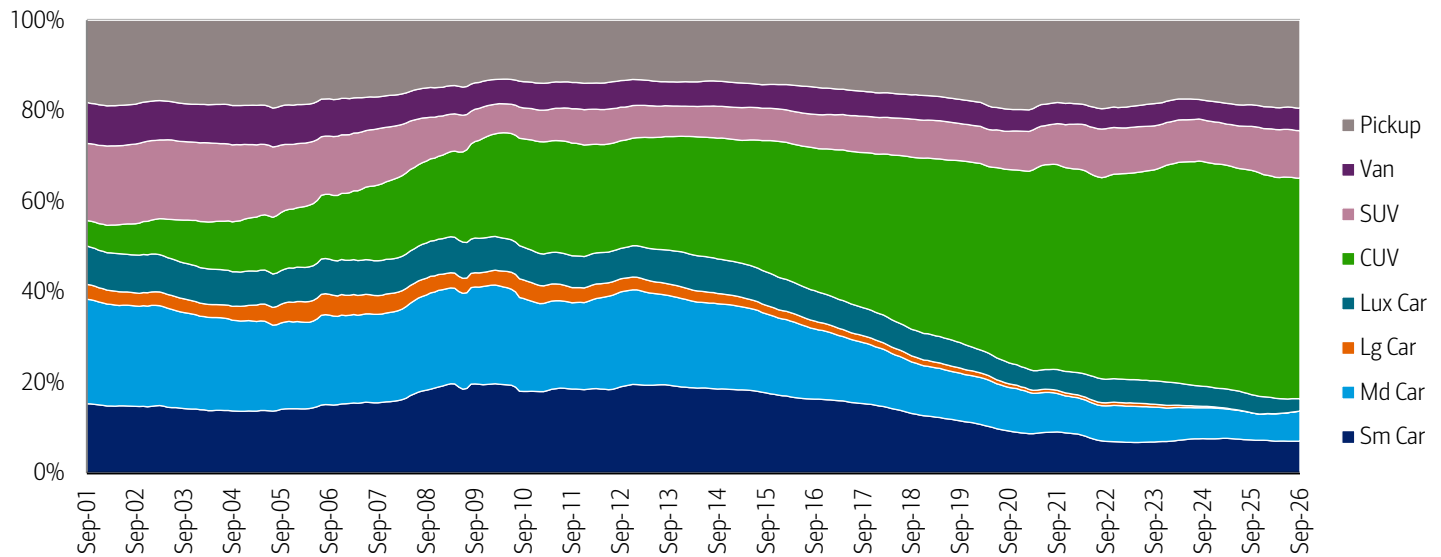


Source: WardsAuto InfoBank

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Exhibit 11: Over the past decade, Crossover Utility Vehicles (CUVs) have increasingly gained market share from Small, Mid-sized, and Large Cars

US sales by segment – Last Twelve Months (LTM) mix trend



Source: WardsAuto InfoBank, BofA Global Research

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Global production

Exhibit 12: Since July '26, 2026 global production forecasts increased +37bps, driven by all regions except for China (-53bps) and NA (-4bps)
Progression of Mobility Global forecasts for 2026: Global LV production by region

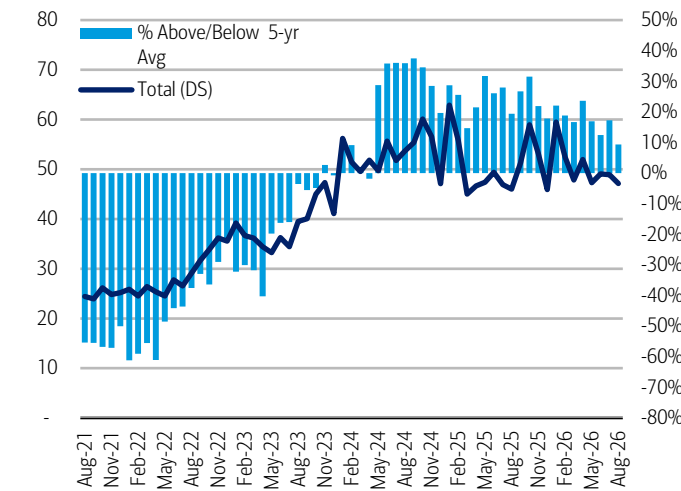
	2025	IHS 2026 Forecast							
	Actual	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Δbps vs. July
Europe	16,920,118	16,861,718	16,748,162	16,681,645	16,757,315	16,901,010	17,024,269	17,121,242	130 bps
YoY% Change		-0.3%	-1.0%	-1.4%	-1.0%	-0.1%	0.6%	1.2%	-
Greater China	32,966,150	32,580,618	32,341,227	32,144,485	31,784,660	31,576,909	31,384,328	31,095,018	-153 bps
YoY% Change		-1.2%	-1.9%	-2.5%	-3.6%	-4.2%	-4.8%	-5.7%	-
Japan/Korea	12,061,069	11,885,820	11,820,950	11,711,583	11,787,663	11,954,681	12,031,230	12,225,929	227 bps
YoY% Change		-1.5%	-2.0%	-2.9%	-2.3%	-0.9%	-0.2%	1.4%	-
Middle East/Africa	2,323,520	2,077,050	1,933,775	1,901,512	1,850,298	1,915,536	1,951,322	1,980,277	338 bps
YoY% Change		-10.6%	-16.8%	-18.2%	-20.4%	-17.6%	-16.0%	-14.8%	-
North America	15,242,585	15,020,464	14,957,675	14,944,883	14,994,373	15,060,537	15,082,892	15,028,640	-21 bps
YoY% Change		-1.5%	-1.9%	-2.0%	-1.6%	-1.2%	-1.0%	-1.4%	-
South America	3,023,506	3,169,018	3,128,681	3,116,806	3,103,254	3,129,116	3,154,586	3,157,497	91 bps
YoY% Change		4.8%	3.5%	3.1%	2.6%	3.5%	4.3%	4.4%	-
South Asia	9,903,863	10,535,104	10,447,104	10,377,116	10,401,107	10,582,037	10,685,611	10,849,979	253 bps
YoY% Change		6.4%	5.5%	4.8%	5.0%	6.8%	7.9%	9.6%	-
Global	92,440,811	92,129,792	91,377,574	90,878,030	90,678,670	91,119,826	91,314,238	91,458,582	37 bps
YoY% Change		-0.3%	-1.2%	-1.7%	-1.9%	-1.4%	-1.2%	-1.1%	-

Source: Mobility Global

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August inventory falls to ~2.5mm
August Auto inventory decreases 63k units MoM

Exhibit 13: US inventory in August was at 47DS, above the 5-year average of 43DS
US inventory – total (DS)



Source: WardsAuto InfoBank, BofA Global Research

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Total auto inventory at the end of August 2026 decreased -63k units from July 2026 to 2.50mm. On a days' supply (DS) basis, total inventory was at 47DS, which is 9% above the 5-year average of 43DS, and down 2 days MoM. We note the 5-year average is depressed because of Covid and historically the industry had tended to run in the range of 60DS-70DS.

The MoM decrease in absolute inventory was driven primarily by Korean OEMs (-41k). The D3 OEMs were +12k. the European OEMs were -17k, and the Japanese OEMs were -23k. The MoM increase for the D3 OEMs was primarily driven by Ford (+10k), followed by GM (+7k) while Stellantis partially offset (-5k). On an inventory days basis, Ford (69DS) and Stellantis (86DS) remain elevated relative to GM (62DS).

Exhibit 14: August inventory was ~2.50mm units, with days' supply of 47, above the 5-year average of 43

August 2026 inventory summary

	Inventory Units	Days Supply	5-yr Avg DS	% Above /Below	Note
Detroit 3 -- Cars	30,549	90	65	38%	Detroit 3 OEM's total inventory was up 12k MoM and increased 74k units YoY. Aggregate supply is less constrained than the industry average for cars and light trucks.
Detroit 3 -- Lt Trucks	1,294,181	69	63	10%	
Detroit 3 -- Total	1,324,730	69	63	11%	
Japanese -- Cars	131,051	27	26	3%	Supply at Japanese OEMs was down 23k MoM and declined 46k units YoY. Aggregate supply is more constrained than the industry average for cars and light trucks.
Japanese -- Lt Trucks	527,327	34	30	13%	
Japanese -- Total	658,378	32	29	11%	
European -- Cars	44,491	38	40	-4%	European OEM's inventory was down 17k MoM and 11k YoY. Aggregate supply is less constrained than the industry average for cars and more for light trucks.
European -- Lt Trucks	144,409	48	46	3%	
European -- Total	188,900	45	44	2%	
Korean -- Cars	70,134	39	30	30%	Inventory at Korean OEMs was down 41k units MoM and 5k units YoY. Aggregate supply is less constrained than the industry average for cars and more for light trucks.
Korean -- Lt Trucks	184,770	36	30	22%	
Korean -- Total	254,904	37	30	24%	
Industry -- Cars	290,325	33	31	8%	Total inventory decreased 63k units MoM and was up 2k units YoY. Car supply tighter than light truck, as OEMs continue to prioritize production and inventory build of high ASP/margin vehicles.
Industry -- Lt Trucks	2,212,917	50	46	9%	
Industry -- Total	2,503,242	47	43	9%	

Source: WardsAuto InfoBank, BofA Global Research

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Exhibit 15: The D3 OEMs ended August at 69DS versus the 5-year average of 63DS although partly elevated due to Stellantis at 86DS

August 2026 inventory summary by OEM

	Inventory Units	Days Supply	5-yr Avg DS	% Above /Below
Ford -- Cars	12,000	86	84	1%
Ford -- Lt Trucks	426,600	69	64	9%
Ford -- Total	438,600	69	64	9%
GM -- Cars	8,468	57	46	26%
GM -- Lt Trucks	520,833	62	57	8%
GM -- Total	529,301	62	56	10%
Stellantis -- Cars	10,081	191	98	95%
Stellantis -- Lt Trucks	346,748	85	74	13%
Stellantis -- Total	356,829	86	75	15%

Source: WardsAuto InfoBank, BofA Global Research

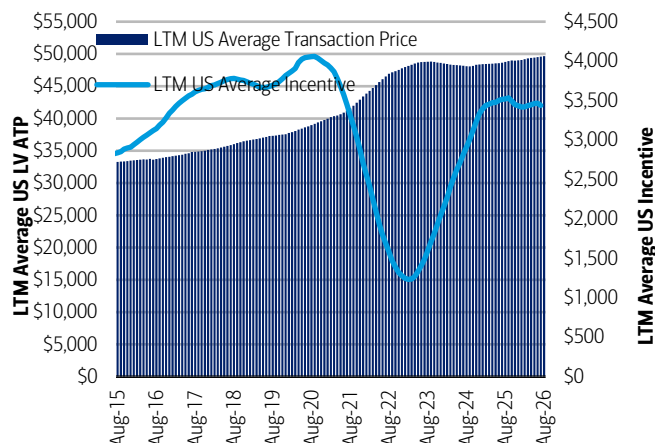
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Incentives & Pricing

ATPs rise despite slightly weaker mix

Exhibit 16: US average ATPs and incentives increased versus July

Industry average transaction price & average incentive



Source: Kelley Blue Book (ATPs do not include applied incentives), AutoData

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We think key model year 2027 changeovers are putting some upward pressure on ATPs while mix provides a partially offset with light trucks – pickups, Sports Utility Vehicles (SUVs), Crossover Utility Vehicles (CUVs) – down -20bps of share versus August 2025. Alternative powertrains lost share versus ICE on a YoY basis while gaining sequentially, with alternative at 23% and ICE at 77%. We think hybrids remain the clear bright spot, with demand up +16% YoY, while EV momentum continues to fade at -42% YoY.

Average transaction prices (ATPs) were up +1.9% YoY in August to \$50,089 and were up +0.5% MoM, according to Kelley Blue Book. Incentives were down -7.1% YoY although up +2.0% MoM in August and are still below 2019 levels (6.5% of ATP versus ~10% in 2019).

Exhibit 17: Industry average incentives were down -7.1% YoY in August, while the average transaction price was up +1.9% YoY

Most recent month US incentive and ATP trends – major automakers

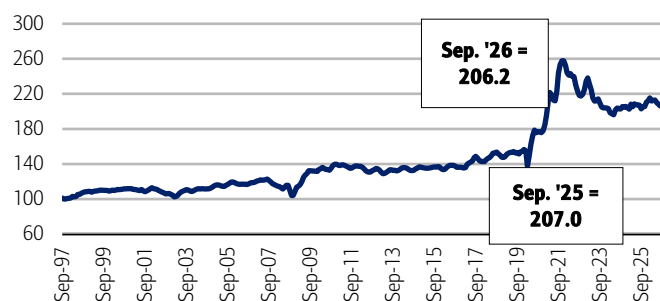
AutoData/KBB	Average Incentive					Average Transaction Price				
	Aug-26	Jul-26	MoM % Chg	Aug-25	YoY % Chg	Aug-26	Jul-26	MoM % Chg	Aug-25	YoY % Chg
GM	\$3,139	\$2,997	4.7%	\$3,058	2.6%	\$54,255	\$53,830	0.8%	\$53,770	0.9%
Ford	\$3,508	\$3,515	-0.2%	\$4,258	-17.6%	\$60,106	\$58,987	1.9%	\$57,440	4.6%
Stellantis	\$5,480	\$5,261	4.2%	\$4,604	19.0%	\$58,883	\$58,540	0.6%	\$55,754	5.6%
Toyota	\$1,286	\$1,328	-3.2%	\$1,826	-29.6%	\$47,662	\$47,119	1.2%	\$45,339	5.1%
Honda	\$2,223	\$2,230	-0.3%	\$2,848	-21.9%	\$38,867	\$38,813	0.1%	\$39,474	-1.5%
Nissan	\$4,090	\$4,109	-0.5%	\$3,703	10.5%	\$39,237	\$38,653	1.5%	\$36,408	7.8%
Hyundai	\$3,019	\$2,986	1.1%	\$3,505	-13.9%	\$39,182	\$39,174	0.0%	\$39,482	-0.8%
BMW	\$4,405	\$4,072	8.2%	\$4,354	1.2%	\$71,374	\$72,451	-1.5%	\$70,406	1.4%
Mercedes-Benz	\$5,152	\$5,095	1.1%	\$4,987	3.3%	\$71,999	\$71,967	0.0%	\$73,049	-1.4%
Volkswagen	\$5,127	\$4,646	10.4%	\$5,883	-12.9%	\$58,009	\$58,170	-0.3%	\$58,960	-1.6%
Tesla	\$5,177	\$5,552	-6.8%	\$6,381	-18.9%	\$52,616	\$53,893	-2.4%	\$54,482	-3.4%
Industry	\$3,266	\$3,202	2.0%	\$3,514	-7.1%	\$50,089	\$49,864	0.5%	\$49,163	1.9%

Source: Kelley Blue Book (ATPs do not include applied incentives), AutoData.

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Exhibit 18: The Manheim Used Vehicle Value index was down -0.4% YoY in Sep. 2026 and was down -1.0% on a MoM basis

Manheim Used Vehicle Value Index

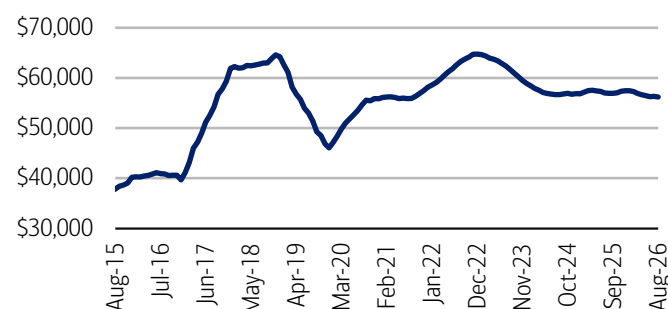


Source: Manheim

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Exhibit 19: EV ATPs in August declined -2.7% YoY and were down -1.2% MoM

Average transaction price of EVs on a trailing twelve month basis



Source: Kelley Blue Book

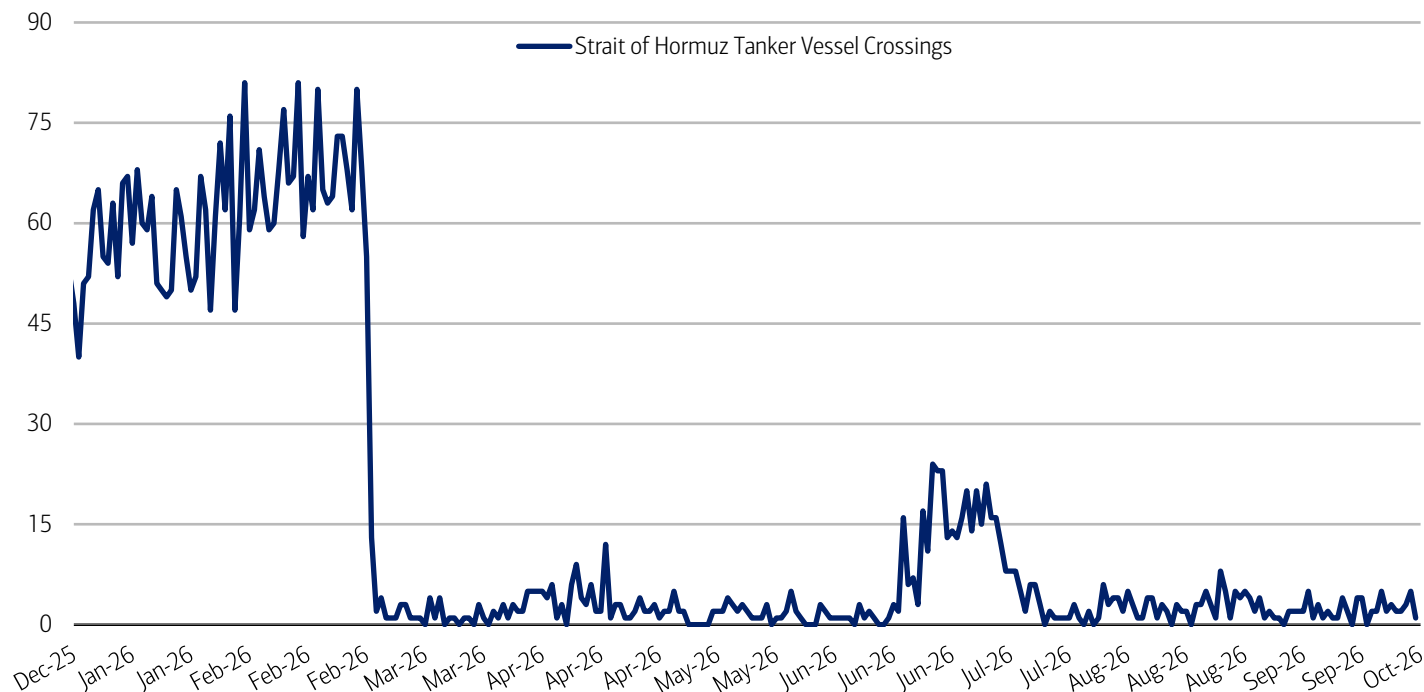
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Other high frequency data

Exhibit 20: The number of vessels crossing through the Strait of Hormuz remains at depressed levels

Bloomberg estimated number of vessels transiting key maritime chokepoints on a daily basis

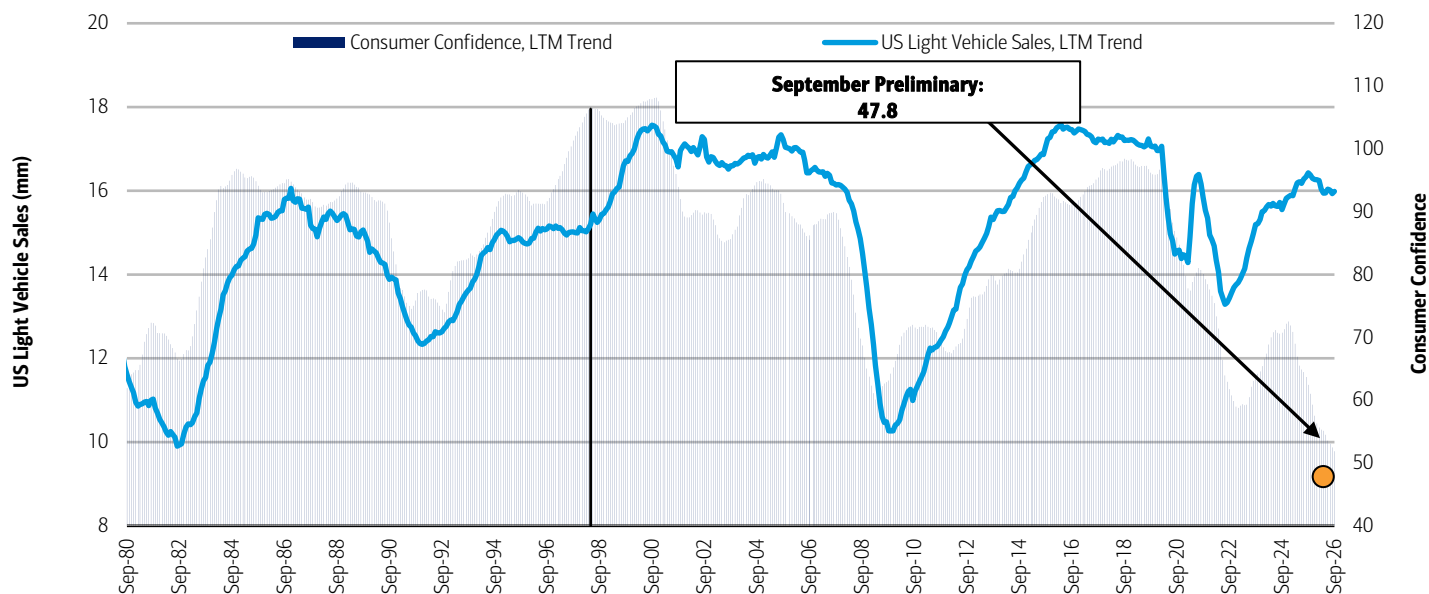


Source: Bloomberg, BofA Global Research

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Exhibit 21: LTM consumer confidence has steadily declined since the start of the year while U.S. auto sales have improved. September (Preliminary) consumer confidence declined to 47.8, -13% YoY

Consumer confidence versus US auto sales



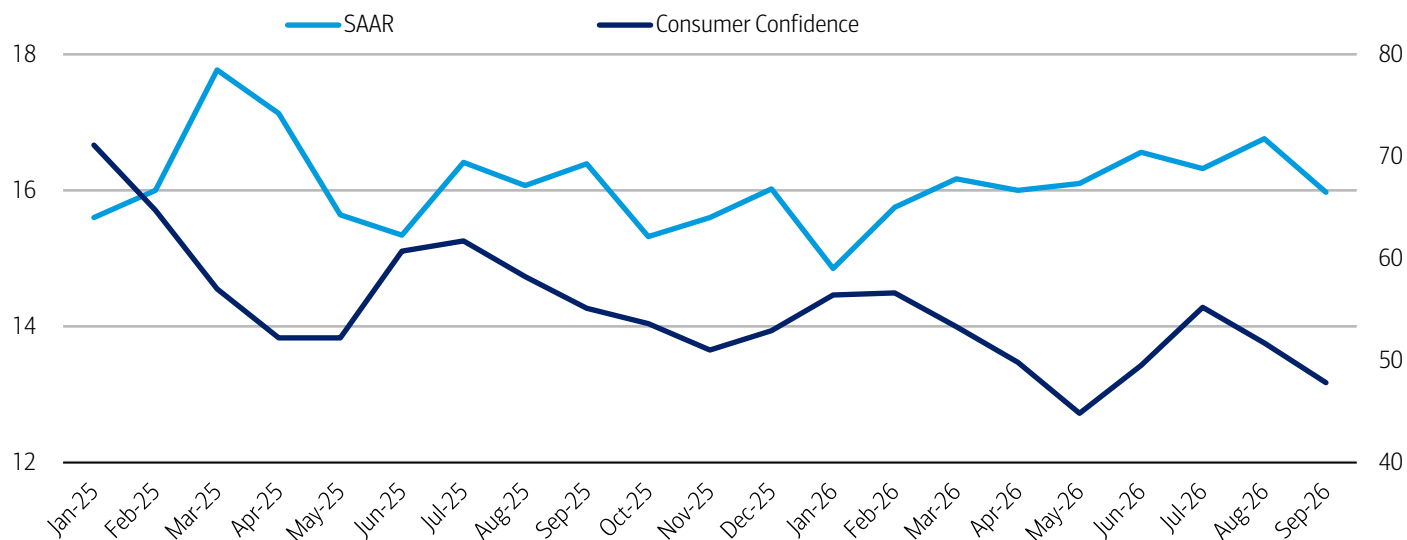
Source: University of Michigan, Wards AutoInforBank

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Exhibit 22: Recently, auto SAAR has held up despite record low consumer confidence, diverging from the long term correlation

Consumer confidence versus US auto sales

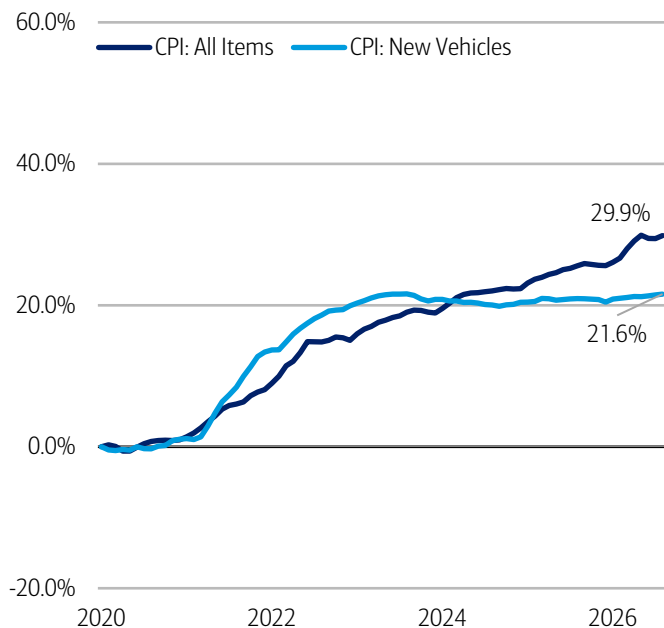


Source: University of Michigan, Wards AutoInforBank

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Exhibit 23: Affordability remains a key concern, but New vehicle CPI has lagged overall U.S. CPI, while other pieces of vehicle ownership have increased significantly

U.S. CPI versus U.S. CPI New Vehicles (2020 = base)

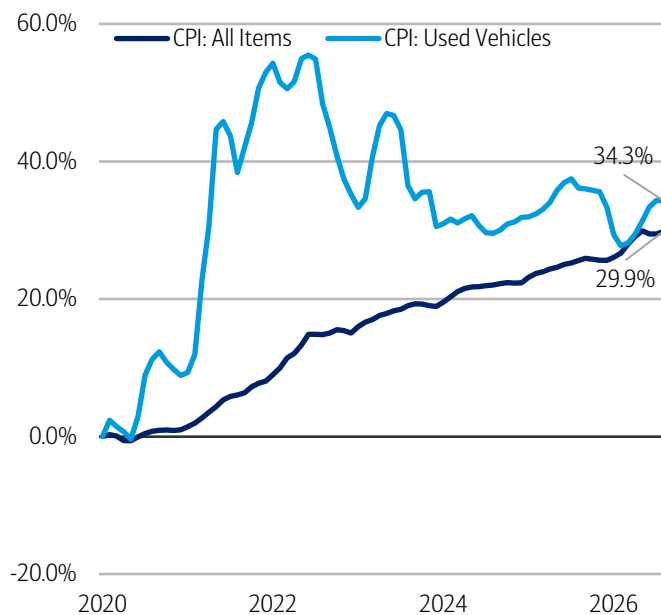


Source: BLS, BofA Global Research

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Exhibit 24: Used vehicle CPI has increased relative to overall U.S. CPI in recent months

U.S. CPI versus U.S. CPI Used Vehicles (2020 = base)

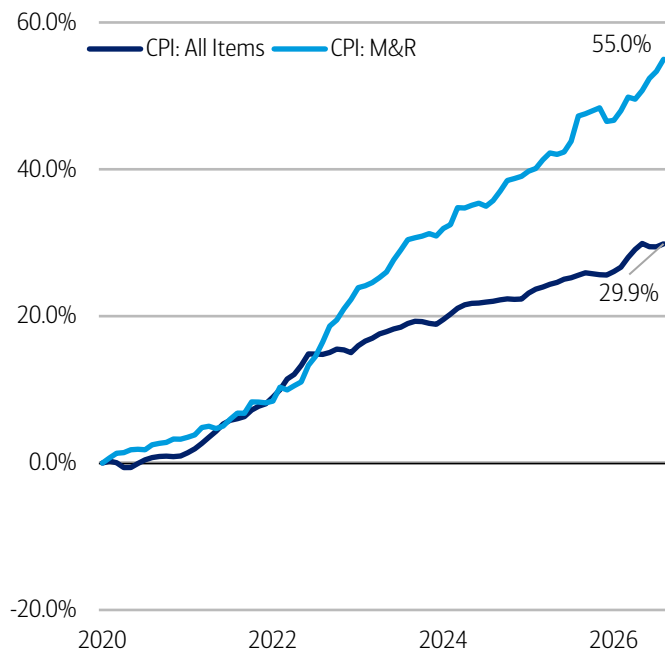


Source: BLS, BofA Global Research

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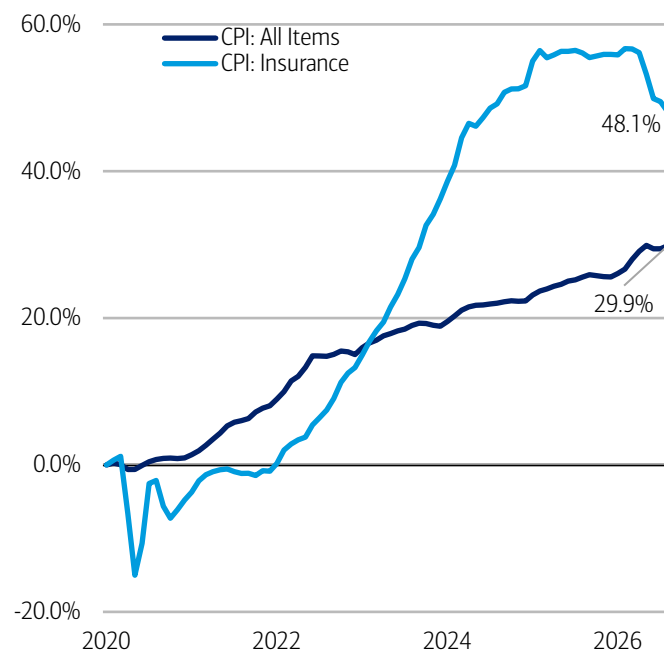
Exhibit 25: Vehicle M&R CPI has accelerated more than overall U.S. CPI
U.S. CPI versus U.S. CPI Vehicle M&R (2020 = base)



Source: BLS, BofA Global Research

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Exhibit 26: Vehicle insurance has declined in recent months versus overall U.S. CPI
U.S. CPI versus U.S. CPI Vehicle Insurance (2020 = base)

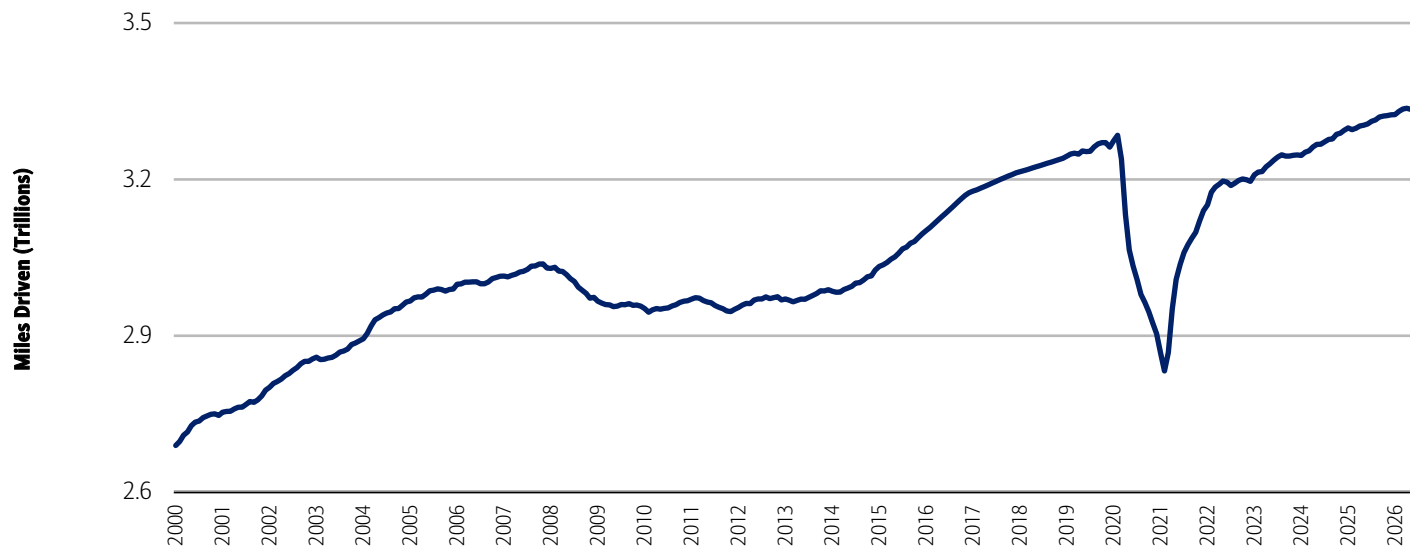


Source: BLS, BofA Global Research

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Exhibit 27: On an LTM basis, US miles driven fell significantly in 2020 due to COVID-19 but have largely recovered. After leveling out in 2H22, miles driven increased in 2023 through 2026. The July 2026 (moving 12-month) level is at 3,337,505

LTM US miles driven

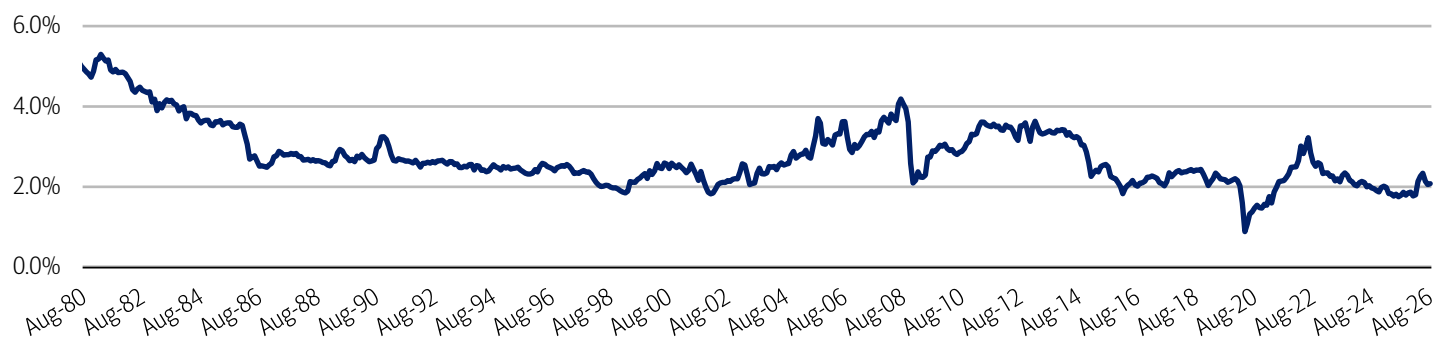


Source: Federal Highway Administration

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Exhibit 28: Gas as a percentage of DPI makes up a smaller portion of the consumer wallet relative to the historical average (~2.8%) and prior energy shocks, at 2.1% as of August 2026

Gasoline and other energy goods as a percentage of disposable personal income (DPI)



Source: Bureau of Economic Analysis

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Exhibit 29: US avg. retail gas prices were down -0.2% WoW and remain elevated, up +50% since the Iran conflict, US retail gas price is \$4.60 as of week 9/28

U.S. average retail gasoline (\$ per gallon)



Source: US Energy Information Administration

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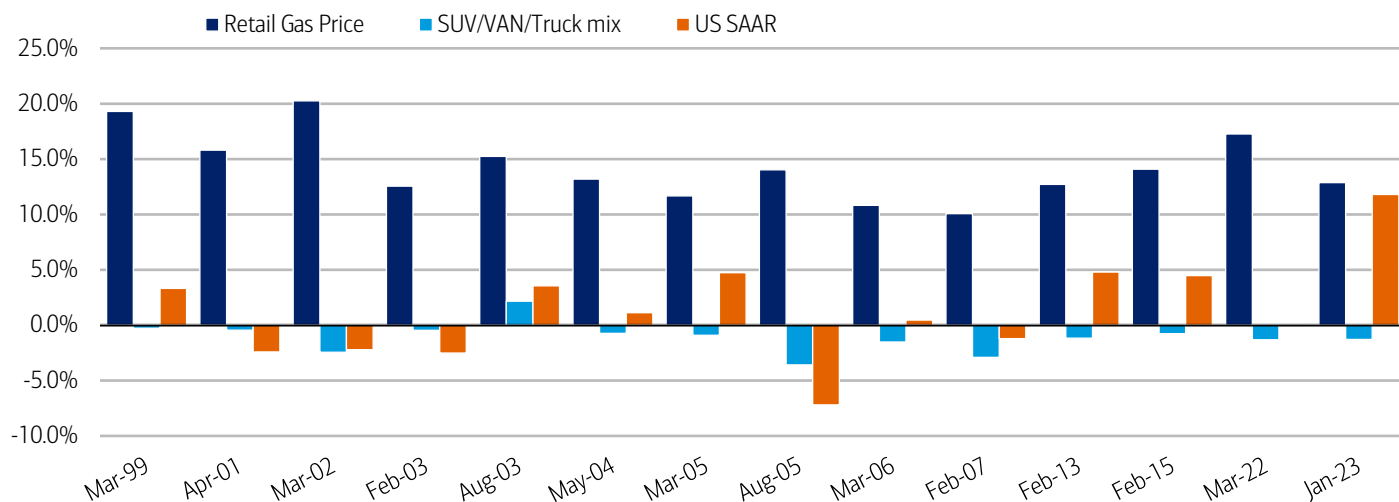


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Exhibit 30: Our analysis suggests a 10%+ sequential increase in monthly gas prices, correlated with a 90bps reduction in mix of larger vehicle purchases (SUVs/Trucks/Vans) in the 6 months following the increase compared to the prior 6 months.

Average six-month change in U.S. SAAR and larger vehicle purchase mix after periods of +10% sequential increases in monthly gas prices

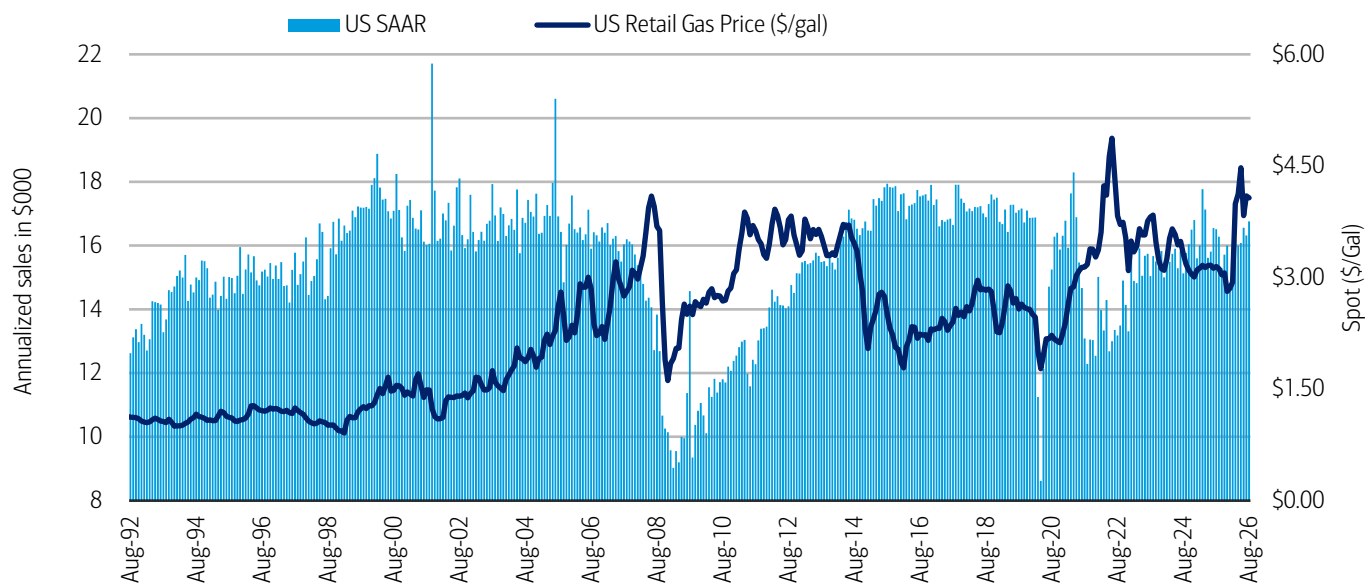


Source: WardsAuto, Bloomberg

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Exhibit 31: Significant increases in gasoline prices have historically correlated with lower U.S. auto sales

U.S. SAAR vs. US Retail Gas Price (\$ per gallon)

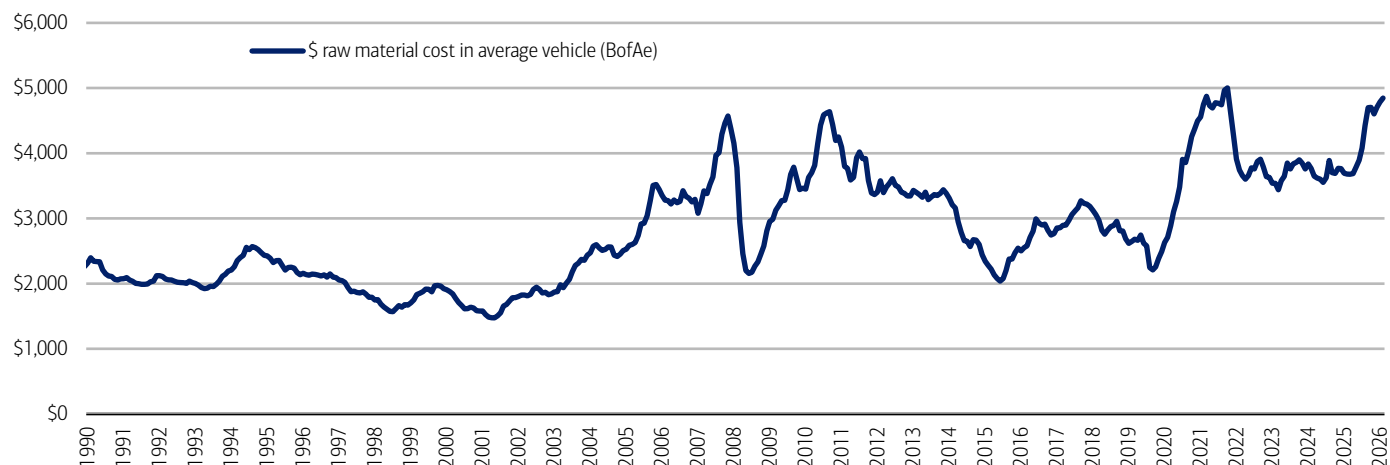


Source: WardsAuto, Bloomberg

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Exhibit 32: We estimate that the total raw material \$ cost per average vehicle increased +2% versus July, August'26 level \$4,784

BofA Global Research estimated total raw material \$ cost per average vehicle

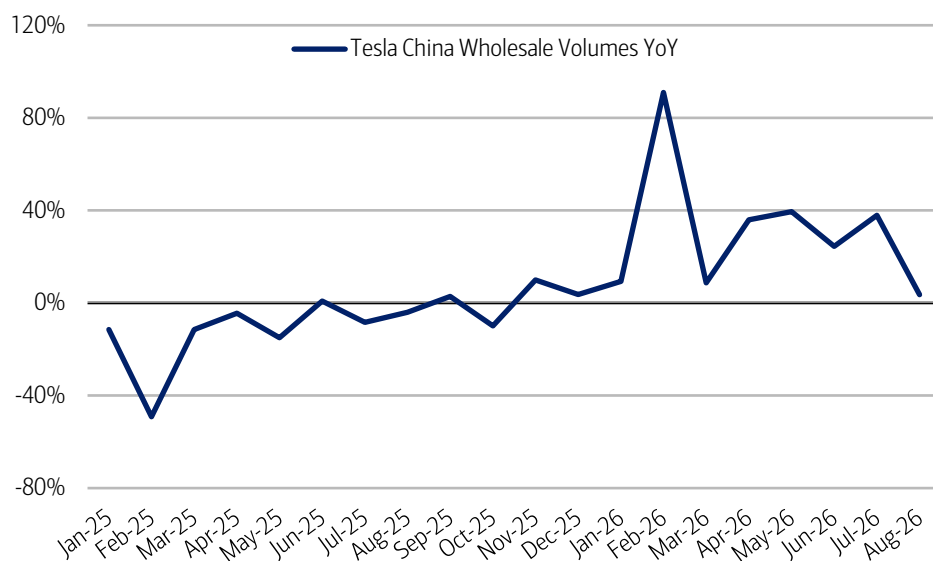


Source: BofA Global Research estimates

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Exhibit 33: Tesla wholesale volume in China has increased each of the past 10 months, reaching 86k in August, +4% YoY

Tesla China monthly sales (exports included) YoY



Source: China Passenger Car Association (CPCA)

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Exhibit 34: BEV registrations were up +52.2% YoY in August (+38.8% YTD) while the BEV market gained ~9pts of share versus the same period (29.2%)

European Union, European Free Trade Association, and UK registrations and market share- Current month and 2026 YTD

Units	Aug-26	Aug-25	%Δ	YTD '26	YTD '25	%Δ
ICE	202,931	264,985	-23.4%	2,558,782	3,114,473	-17.8%
BEV	243,207	159,794	52.2%	2,133,364	1,536,615	38.8%
PHEV	94,133	82,948	13.5%	964,497	789,390	22.2%
HEV	273,266	264,175	3.4%	3,334,039	3,018,467	10.5%
Others	19,100	19,152	-0.3%	201,846	232,867	-13.3%
Total	832,637	791,054	5.3%	9,192,528	8,691,812	5.8%

Market share	Aug-26	Aug-25	%Δ	YTD '26	YTD '25	%Δ
ICE	24.4%	33.5%	-9.1	27.8%	35.8%	-8.0
BEV	29.2%	20.2%	9.0	23.2%	17.7%	5.5
PHEV	11.3%	10.5%	0.8	10.5%	9.1%	1.4
HEV	32.8%	33.4%	-0.6	36.3%	34.7%	1.5
Others	2.3%	2.4%	-0.1	2.2%	2.7%	-0.5

Source: European Automobile Manufacturers' Association

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Exhibit 35: Chinese brands rose +79.3% YoY in August (+68.1% YTD), lifting share to 12.7% (11.5% YTD) from 7.4% (7.2% YTD)

European Union, European Free Trade Association, and UK registrations and market share- Current month and 2026 YTD

Units	Aug-26	Aug-25	%Δ	YTD '26	YTD '25	%Δ
D3	132,071	132,063	0.0%	1,605,426	1,585,197	1.3%
Europeans	392,769	400,840	-2.0%	4,322,114	4,289,029	0.8%
Japanese	90,905	84,757	7.3%	980,883	995,205	-1.4%
Koreans	62,620	69,001	-9.2%	688,252	699,880	-1.7%
Chinese	103,490	57,724	79.3%	1,034,685	615,604	68.1%
Others	31,230	31,866	-2.0%	392,168	340,091	15.3%
Total	813,085	776,251	4.7%	9,023,528	8,525,006	5.8%

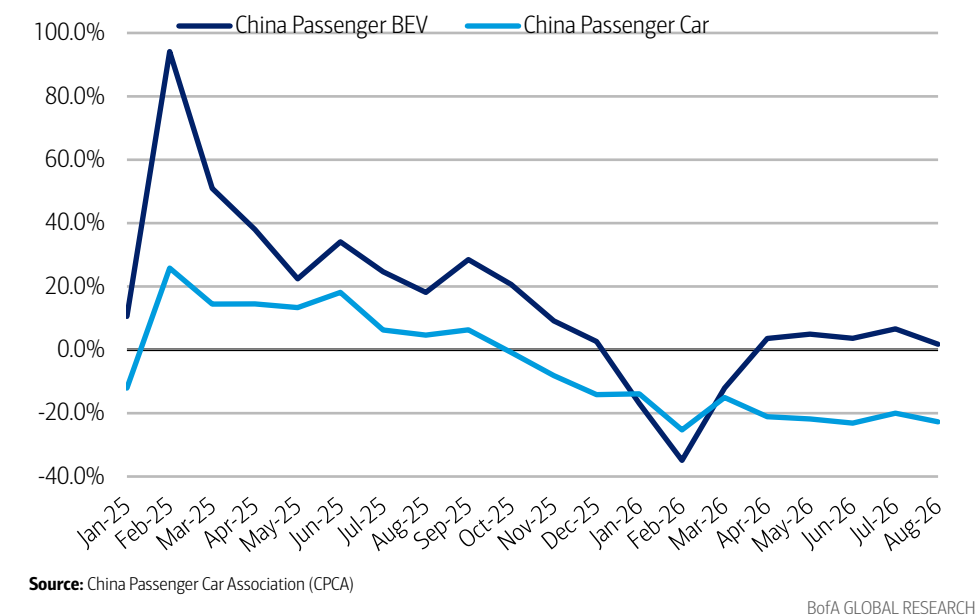
Market share	Aug-26	Aug-25	%Δ	YTD '26	YTD '25	%Δ
D3	16.2%	17.0%	-0.8	17.8%	18.6%	-0.8
Europeans	48.3%	51.6%	-3.3	47.9%	50.3%	-2.4
Japanese	11.2%	10.9%	0.3	10.9%	11.7%	-0.8
Koreans	7.7%	8.9%	-1.2	7.6%	8.2%	-0.6
Chinese	12.7%	7.4%	5.3	11.5%	7.2%	4.2
Others	3.8%	4.1%	-0.3	4.3%	4.0%	0.4

Source: European Automobile Manufacturers' Association

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Exhibit 36: China Passenger car retail sales declined -22.8% YoY while BEV sales rose +1.7% YoY in August

China monthly domestic retail sales



Upcoming Events Calendar

Exhibit 37: Below we outline the release dates for monthly industry and economic data used in our analyses

Calendar of upcoming automotive industry events

Oct.	Week of Oct. 1, 2026	Industry Data Release	September 2026 US auto inventories
	Oct. 2, 2026	Economic Data Release	US unemployment rate / US employees change in nonfarm payrolls
	Oct. 9, 2026	Economic Data Release	Preliminary Consumer Confidence survey for month of October
	Oct. 23, 2026	Economic Data Release	Final Consumer Confidence survey for month of October
Nov.	Week of Nov. 1, 2026	Industry Data Release	October 2026 US auto inventories
	Nov. 2, 2026	Industry Data Release	October 2026 US autos sales
	Nov. 6, 2026	Economic Data Release	US unemployment rate / US employees change in nonfarm payrolls
	Nov. 6, 2026	Economic Data Release	Preliminary Consumer Confidence survey for month of November
	Nov. 27, 2026	Economic Data Release	Final Consumer Confidence survey for month of November

Source: : AutoNews, Bloomberg, Company Filings, BofA Global Research

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BofA Securities is currently acting as Financial Advisor to Penske Corp in connection with its proposal alongside Mitsui & Co to acquire the remaining shares of Penske Automotive Group Inc, which was announced on July 22,2026.

